Notes: Jensen & Meckling (JFE, 1976)

Theory of the Firm: Managerial Behavior, Agency Costs and Ownership Structure

Source: Journal of Financial Economics 3 (1976), 305–360. Figures are directly cropped from the paper.

Contents

1 Big picture

- **Question.** How can we build a theory of the firm when managers, shareholders, and creditors have different objectives and costly contracts?
- **Core contribution.** The paper integrates agency theory, property-rights theory, and finance to explain the ownership structure of the firm: inside equity, outside equity, and debt.
- **Definition of agency costs.** Agency costs are the sum of monitoring expenditures by the principal, bonding expenditures by the agent, and residual loss from remaining divergence in decisions.
- **Definition of the firm.** The firm is not a person with a single objective. It is a legal fiction and a nexus of contracts among owners, managers, employees, creditors, suppliers, customers, and other claimants.
- **Outside-equity problem.** When the manager owns less than 100 percent of the residual claim, he bears only a fraction of the cost of perquisites or slack effort. This lowers firm value relative to sole ownership.
- **Incidence result.** In rational capital markets, outside investors anticipate the agency problem and pay less for securities. The original owner-manager bears the expected agency costs when he sells outside claims.
- **Monitoring and bonding.** Audits, covenants, budgets, operating rules, incentive contracts, and bonding promises are costly devices that reduce agency costs. They are chosen when their marginal value exceeds their marginal cost.
- **Debt problem.** Debt creates incentives for shareholders/managers to shift risk, underinvest, or otherwise transfer wealth from debtholders. Covenants and bankruptcy costs are part of the agency cost of debt.
- **Capital structure result.** The optimal mix of outside equity and debt balances agency costs of outside equity against agency costs of debt. Taxes are not the only reason firms choose debt.
- **Firm scale result.** Agency costs can reduce the privately and socially optimal scale of the firm relative to a zero-agency-cost benchmark, but the resulting arrangement can still be Pareto efficient.
- **Why public corporations survive.** Positive agency costs do not imply inefficiency. They are like any other scarce-resource cost. The corporate form survives because its benefits exceed these costs in many settings.
- **Economic takeaway.** Modern corporate finance should not treat capital structure as only debt versus equity. It should also ask who owns the residual claims, who controls decisions, and which contracts economize on agency costs.

2 Data and measurement (concepts, claims, and assumptions)

2.1 Why this paper has no empirical dataset

- This is a foundational theoretical paper, not an empirical paper.
- The "data" objects are conceptual: agency relationships, ownership claims, debt contracts, monitoring technologies, bonding devices, perquisite consumption, and bankruptcy/reorganization costs.
- The paper's goal is to explain observed institutional facts: outside equity, debt, preferred stock, audits, covenants, limited liability, and the survival of public corporations.

Interpretation. The proper way to read the paper is as a model-building exercise. Its main output is a logic of incentives and contracting, not coefficient estimates.

2.2 Agency relationship

- A principal delegates decision authority to an agent.
- If both parties maximize utility, the agent will not generally act exactly as the principal would prefer.
- The manager-shareholder relationship is a central example, but agency problems also occur with creditors, employees, suppliers, customers, regulators, and coauthors.

Interpretation. Agency problems arise whenever cooperative production requires delegation and costly observation.

2.3 Agency cost components

- **Monitoring costs:** resources spent by principals to observe, restrict, or influence the agent. Examples include audits, budgets, compensation systems, operating rules, and covenants.
- **Bonding costs:** resources spent by agents to commit not to harm principals, or to compensate principals if they do. Examples include audited reporting, contractual guarantees, and restrictions voluntarily accepted by management.
- **Residual loss:** the dollar value of the remaining divergence between the agent's actual decisions and the decisions that would maximize the principal's welfare.

Interpretation. The paper's key move is to treat all three objects as real economic costs. Agency costs are not just waste; they are the cost of using contractual organizations when perfect enforcement is impossible.

2.4 Firm as a nexus of contracts

- The private corporation is a legal fiction that serves as a nexus for contracting relationships.
- It is characterized by divisible residual claims on assets and cash flows, which can generally be sold without permission from other contracting parties.
- The "behavior of the firm" is the equilibrium outcome of contracts among individuals, not the action of a single person-like entity.

Interpretation. This definition reframes the theory of the firm. Instead of asking what objective function the firm has, the paper asks which contracts arise and how they allocate rights, cash flows, and control.

2.5 Ownership structure versus capital structure

- The paper avoids the narrow phrase "capital structure" because it usually focuses on bonds, equity, warrants, trade credit, and other liabilities.
- The deeper object is **ownership structure**: how much of the residual claim is held by insiders versus outsiders, and how outside financing is split between debt and equity.
- The key variables are inside equity, outside equity, and debt.

Interpretation. The manager's fractional ownership is as important as the debt-equity ratio because it determines how much of the cost of managerial perquisites the manager internalizes.

2.6 Outside-equity setup

- The manager may consume non-pecuniary benefits: office amenities, leisure, empire building, charitable spending, weak discipline, personal relationships, or insufficient search for profitable projects.
- With 100 percent ownership, he bears the full cost of these benefits.
- With fractional ownership, he bears only a fraction of the cost, so he consumes more perquisites or exerts less costly effort.
- Potential outside shareholders anticipate this behavior and lower the price they pay.

Interpretation. The agency cost of outside equity comes from the wedge between the manager's private marginal cost and the firm's full marginal cost.

2.7 Assumptions in the outside-equity model

The paper initially uses simplifying assumptions to isolate the mechanism:

- no taxes;
- no trade credit;
- outside equity is non-voting;
- no convertible bonds, preferred stock, warrants, or other complex claims;
- outside owners get utility only through wealth or cash flows;
- one production-financing decision;

- manager wages are held fixed;
- one peak manager with ownership interest;
- temporarily fixed firm size, no monitoring/bonding, no debt, and no portfolio diversification.

Interpretation. These assumptions are deliberately stark. The paper first shows the pure incentive mechanism, then adds monitoring, bonding, debt, bankruptcy, and diversification.

2.8 Debt claims and limited liability

- Limited liability is important because it makes diffuse ownership feasible.
- But limited liability alone cannot explain why firms use outside equity rather than nearly all debt.
- Debt itself creates agency costs because equity holders may prefer risky projects that transfer wealth from creditors.

Interpretation. The paper's debt analysis answers a puzzle left by simple limited-liability arguments: why do we observe both debt and equity, rather than only highly levered owner-managed firms?

2.9 Bankruptcy and reorganization costs

- Bankruptcy is not the same as liquidation. Bankruptcy reallocates claims when obligations cannot be met; liquidation occurs only if assets are worth more piecemeal than as a going concern.
- Bankruptcy and reorganization consume resources and alter future cash flows.
- Bondholders price these expected costs into debt claims, so the original owner-manager ultimately bears them when issuing debt.

Interpretation. Bankruptcy costs are part of the agency cost of debt. They help explain why debt does not completely dominate corporate finance even when interest payments receive favorable tax treatment.

3 Models and theoretical specifications (all equations plus interpretation)

3.1 Agency-cost definition

The agency relationship generates total agency costs

$$AC = M + B + RL, \tag{1}$$

where M is monitoring expenditure by the principal, B is bonding expenditure by the agent, and RL is residual loss.

Interpretation. This decomposition is the paper's core accounting identity. It makes audits, covenants, incentive contracts, and remaining distortions part of one unified cost-minimization problem.

3.2 Non-pecuniary benefits and the manager's choice

Let

$$\begin{aligned} X &= (x_1, x_2, \ldots, x_n), && (2)\\ C(X) &= \text{dollar cost of providing } X, && (3)\\ P(X) &= \text{productive benefit to the firm from } X, && (4)\\ B(X) &= P(X) - C(X). && (5) \end{aligned}$$

The productively optimal level X^* satisfies

$$\frac{\partial B(X^*)}{\partial X} = 0. \tag{6}$$

For any manager-chosen bundle $\widehat{X}$ above the productive optimum, define the dollar cost of perquisites as

$$F = B(X^*) - B(\widehat{X}). \tag{7}$$

Interpretation. F is not just cash stealing. It is the current market value of all manager-valued, firm-costly activities that do not maximize firm value.

3.3 The 100 percent owner-manager

With full ownership, the manager faces a tradeoff between firm value V and perquisites F with slope -1:

$$\Delta V = -\Delta F. \tag{8}$$

He chooses the tangency between this budget line and his indifference curve.

Interpretation. A sole owner consumes perquisites only until his private marginal benefit equals the full dollar cost to the firm.

3.4 Selling outside equity

Suppose the manager sells a fraction $1 - \alpha$ of equity and retains fraction α. His post-sale wealth is

$$W = S_o + S_i = S_o + \alpha V(F, \alpha), \tag{9}$$

where S_o is the price paid by outside shareholders and S_i is the manager's retained equity value.

For a claim of $1 - \alpha$, outside investors pay only

$$S_o = (1 - \alpha)V', \tag{10}$$

where V' is the value they expect after the manager changes behavior.

Interpretation. The manager cannot fool rational outside shareholders. They anticipate higher perquisite consumption and lower the purchase price. Therefore the original owner-manager bears the agency cost.

3.5 Residual loss from outside equity

If V^* is the firm value when the owner-manager owns 100 percent and V' is the value after selling outside equity, residual loss is

$$RL = V^* - V'. \tag{11}$$

Interpretation. In the simple no-monitoring case, residual loss is the entire agency cost of outside equity. The manager sells outside equity only if the liquidity, investment, or diversification benefits exceed this cost.

3.6 Optimal scale with outside equity and no monitoring

When outside equity financing is used, the manager chooses firm scale so that

$$\Delta V - \Delta I + \alpha' \Delta F = 0. \tag{12}$$

Equivalently, writing $\bar{V}$ for firm value before perquisite costs,

$$(\Delta \bar{V} - \Delta I) - (1 - \alpha')\Delta F = 0. \tag{13}$$

Interpretation. The firm expands until the gross value of incremental investment is offset by the agency loss from the manager's lower ownership share. This can lead to $I' < I^*$.

3.7 Monitoring

Let $F(M, \alpha)$ be the maximum perquisite consumption allowed by monitoring expenditure M. The paper assumes

$$\frac{\partial F}{\partial M} < 0, \qquad \frac{\partial^2 F}{\partial M^2} > 0. \tag{14}$$

Firm value with monitoring is

$$V = \bar{V} - F(M, \alpha) - M. \tag{15}$$

Interpretation. Monitoring reduces perquisites but uses real resources. The optimal level trades off lower residual loss against higher monitoring cost.

3.8 Bonding

Bonding expenditures are commitments by the manager to limit harmful actions. They can include audited accounts, guarantees, bonding against malfeasance, and contractual limits on future decisions.

$$AC = M + b + RL, \tag{16}$$

where b is bonding cost.

Interpretation. Monitoring and bonding are substitutes in some settings and complements in others. What matters is that the owner-manager has an incentive to choose the least-cost combination because the benefits are capitalized into security prices.

3.9 Debt incentive effect: risk shifting

Let debt have face value X^*. If project j produces payoff $\tilde{X}_j$, the bondholder payoff is

$$R_j = \begin{cases} X^*, & \tilde{X}_j \geq X^*, \\ \tilde{X}_j, & \tilde{X}_j < X^*. \end{cases} \tag{17}$$

Equity resembles a call option on the firm. A higher-variance project can raise equity value even if it lowers total firm value.

If project 2 is riskier and may lower firm value, the difference in equity values can be written as

$$S_2 - S_1 = (B_1 - B_2) - (V_1 - V_2). \tag{18}$$

Interpretation. The first term is wealth shifted from bondholders; the second is the loss in total firm value. If the transfer exceeds the value loss, equity holders prefer the inefficiently risky project.

3.10 Agency costs of debt

The agency cost of debt consists of

$$AC_D = \text{investment distortion} + \text{monitoring/bonding costs} + \text{bankruptcy/reorganization costs}. \tag{19}$$

Interpretation. Debt is useful, but not free. It changes investment incentives, induces covenants and monitoring, and increases expected bankruptcy costs.

3.11 Ownership-structure variables

Let

$$S_i = \text{inside equity held by the manager}, \tag{20}$$
$$S_o = \text{outside equity held by outsiders}, \tag{21}$$
$$B = \text{debt held by outsiders}, \tag{22}$$
$$S = S_i + S_o, \tag{23}$$
$$V = S + B. \tag{24}$$

Define the fraction of outside financing obtained from equity as

$$E = \frac{S_o}{B + S_o}, \tag{25}$$

and the fraction of firm value financed externally as

$$K = \frac{B + S_o}{V^*}. \tag{26}$$

Interpretation. E determines the outside debt-equity mix. K determines how much of the firm is financed by outside claims.

3.12 Optimal mix of outside equity and debt

For a fixed firm size and fixed amount of outside financing, total agency costs are

$$A_T(E) = A_{S_o}(E) + A_B(E), \tag{27}$$

where $A_{S_o}(E)$ is the agency cost of outside equity and $A_B(E)$ is the agency cost of debt.

The optimal outside-equity share satisfies

$$E^* = \arg\min_E A_T(E). \tag{28}$$

Interpretation. Outside equity and debt have opposite incentive problems. The optimal financing mix minimizes their total agency cost.

3.13 Optimal amount of outside financing

Let $A_T(E^*, K, V^*)$ be minimized agency cost for firm scale V^* and outside-financing fraction K. The optimal K^* equates marginal agency cost to the manager's marginal value of diversification and liquidity:

$$\frac{\partial A_T(E^*, K, V^*)}{\partial K} = \text{marginal value of outside financing.} \tag{29}$$

Interpretation. Even if the owner could fully finance the firm, he may sell debt or equity to diversify his personal wealth. The cost of doing so is agency cost.

3.14 Supply side of incomplete markets

The paper views securities such as debt and equity as claims that are costly to create, monitor, and enforce.

$$\text{New financial claim} \quad \Longleftrightarrow \quad \text{contracting benefits} - \text{agency/enforcement costs} > 0. \tag{30}$$

Interpretation. The paper connects corporate finance to the completeness-of-markets problem. Markets do not become complete automatically; entrepreneurs create claims only when doing so is privately worthwhile.

4 Identification and theoretical design (what makes the argument credible)

4.1 What identifies the main theoretical effect

- The core variation is conceptual: compare a 100 percent owner-manager with a fractional owner-manager.
- When ownership falls from 1 to α, the manager's private cost of perquisites falls from 1 to α dollars per dollar of firm value.
- This wedge predicts more perquisites, lower firm value, monitoring, bonding, and lower security prices.

Interpretation. The argument does not need an empirical instrument. It follows from utility maximization, costly contracting, and rational pricing.

4.2 Why incidence falls on the owner-manager

- Outside investors anticipate the manager's incentives.
- Competitive capital markets price the expected monitoring costs, bonding costs, bankruptcy costs, and residual loss.
- The owner-manager receives a lower price when issuing securities.

Interpretation. This is one of the strongest parts of the paper. Agency costs are not mainly a surprise loss to naive outsiders; they are capitalized into the terms on which the firm can raise capital.

4.3 Why positive agency costs do not imply inefficiency

- Agency costs are unavoidable when monitoring and contracting are costly.
- The owner-manager creates agency relationships only when the benefits exceed the costs.
- Comparing the real world with positive agency costs to a hypothetical zero-cost world is a Nirvana fallacy.

Interpretation. The paper's efficiency concept is not "firm value is always maximized." It is "given contracting costs, the chosen arrangement can be Pareto efficient."

4.4 Why product-market competition does not eliminate agency costs

- Competition can limit some managerial slack, but it does not make monitoring costless.
- If rival firms face similar agency costs, a firm with agency costs need not be driven out.
- Monopoly does not mechanically increase agency costs, because owners still choose monitoring until marginal cost equals marginal benefit.

Interpretation. The paper rejects the simple claim that competitive markets solve internal corporate governance problems.

4.5 Why covenants and audits are predicted

- Bondholders worry that shareholders will increase risk, pay dividends, issue senior debt, or reduce working capital.
- Covenants restrict these actions, but writing and enforcing covenants is costly.
- Financial reporting and independent auditing can be supplied voluntarily because they lower financing costs.

Interpretation. The paper explains many legal and accounting practices as endogenous contractual devices for reducing agency costs.

4.6 Why debt exists even without tax benefits

- Debt can finance profitable projects when the owner lacks sufficient personal wealth.
- Debt can be cheaper than outside equity for some firms because the relevant agency costs differ.
- The entrepreneur chooses debt when the marginal value of investment or diversification exceeds the marginal agency cost of debt.

Interpretation. Taxes matter, but they are not the foundation of debt. Agency-cost tradeoffs can explain debt even before tax advantages.

4.7 Why the corporate form survives

- Investors voluntarily entrust wealth to corporations despite agency costs.
- The survival and growth of public corporations suggest that contractual solutions are good enough to pass a market test.
- Law and contract design evolve because parties have strong incentives to reduce agency costs.

Interpretation. The corporation is imperfect but robust. Its endurance is evidence that the benefits of transferable residual claims, limited liability, specialization, and diversification often exceed agency costs.

4.8 What the paper cannot fully prove

- The paper is theoretical and does not estimate agency costs empirically.
- Many curve shapes in the figures are hypothesized rather than derived from primitive technologies.
- The baseline model is single-period and abstracts from reputation, repeated financing, managerial turnover, and voting control.
- Outside equity is assumed non-voting in the baseline, leaving control rights for future analysis.
- Complex claims such as warrants, convertibles, and preferred stock are discussed as extensions rather than fully modeled.
- The analysis mostly focuses on owners, managers, and creditors, while many other firm contracts are only sketched.

Interpretation. The paper should be read as a foundational framework. Its value is not that it resolves every contract; it gives the language and incentive logic for studying them.

5 Tables and figures

This paper contains no empirical tables. Its main visuals are eight theoretical figures. To save space and improve reading speed, adjacent figures are grouped together below.

5.1 Figure 1 + Figure 2: Outside equity and optimal scale without monitoring

Read:

- Figure 1 shows the owner-manager's budget line between firm value V and perquisites F.
- With 100 percent ownership, the manager chooses F^* and V^* where his indifference curve is tangent to the slope -1 budget line.
- After selling outside equity, the manager's private cost of perquisites falls to α per dollar, so the relevant tradeoff has slope $-\alpha$.
- The manager increases perquisite consumption from F^* to F' and firm value falls from V^* to V'.
- Figure 2 adds firm scale. Without monitoring, outside equity financing moves the equilibrium from the ideal expansion path toward point D, with investment I' below the zero-agency-cost benchmark I^*.
- The distance A is gross agency cost.

Economic message. Outside equity changes the manager's marginal incentives. The price of outside equity falls because investors expect lower value, and the owner-manager bears that expected loss.

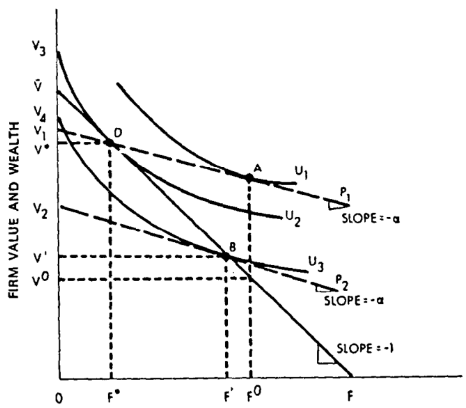

Fig. 1. The value of the firm (V) and the level of non-pecuniary benefits consumed (F) when the fraction of outside equity is $(1-\alpha)V$, and U_j ($j = 1, 2, 3$) represents owner's indifference curves between wealth and non-pecuniary benefits.

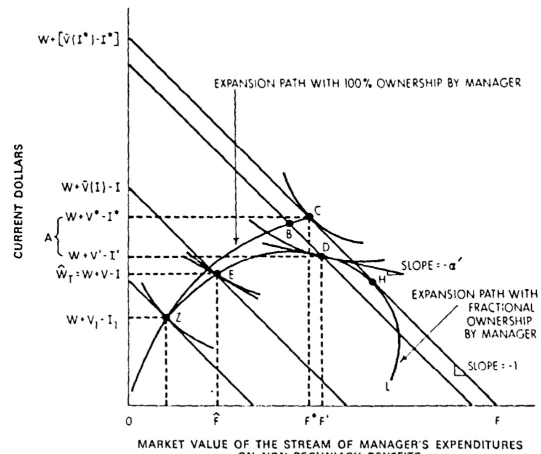

Fig. 2. Determination of the optimal scale of the firm in the case where no monitoring takes place. Point C denotes optimum investment, I^*, and non-pecuniary benefits, F^*, when investment is 100% financed by entrepreneur. Point D denotes optimum investment, I', and non-pecuniary benefits, F, when outside equity financing is used to help finance the investment and the entrepreneur owns a fraction α' of the firm. The distance A measures the gross agency costs.

5.2 Figure 3 + Figure 4: Monitoring, bonding, and efficient agency-cost reduction

Read:

- Figure 3 adds monitoring or bonding to the outside-equity problem.
- Monitoring shifts the feasible set from the no-control line to the curve BCE.
- The owner-manager voluntarily accepts monitoring/bonding because it raises the security price more than the private perquisites he gives up.
- Figure 4 adds firm scale again. Monitoring and bonding move the expansion path above the no-monitoring path.
- The equilibrium is point G, with positive monitoring cost M'', bonding cost b'', and perquisites F''.

Economic message. Monitoring and bonding are not outside impositions that simply hurt managers. They are value-enhancing contracts that the owner-manager wants to write when they reduce total agency costs.

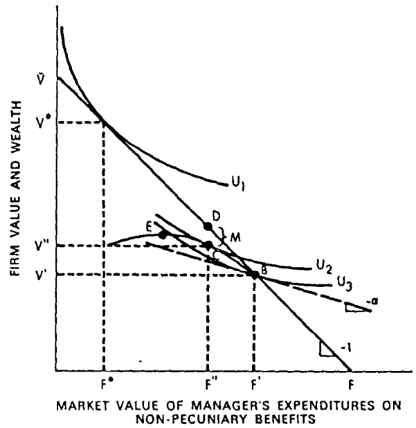

Fig. 3. The value of the firm (V) and level of non-pecuniary benefits (F) when outside equity is $(1-\alpha)$, U_1, U_2, U_3 represent owner's indifference curves between wealth and non-pecuniary benefits, and monitoring (or bonding) activities impose opportunity set BCE as the tradeoff constraint facing the owner.

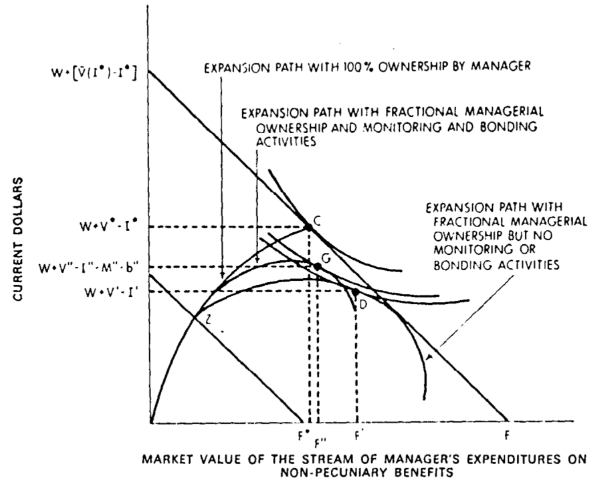

Fig. 4. Determination of optimal scale of the firm allowing for monitoring and bonding activities. Optimal monitoring costs are M'' and bonding costs are b'' and the equilibrium scale of firm, manager's wealth and consumption of non-pecuniary benefits are at point G.

5.3 Figure 5 + Figure 6: Optimal debt-equity mix and scale of outside financing

Read:

- Figure 5 decomposes total agency costs into agency costs of outside equity and agency costs of debt.
- As the share of outside financing obtained from equity rises, outside-equity agency costs rise.
- As the share of outside financing obtained from equity rises, debt agency costs fall because less debt is outstanding and there is less scope for risk shifting against debtholders.
- The sum has an interior minimum at E^*.
- Figure 6 compares low and high levels of outside financing, K_0 and K_1.
- More outside financing shifts agency-cost curves upward and can change the optimal share of outside equity.

Economic message. The paper turns capital structure into an agency-cost minimization problem. The optimal mix of debt and equity comes from balancing two different agency problems.

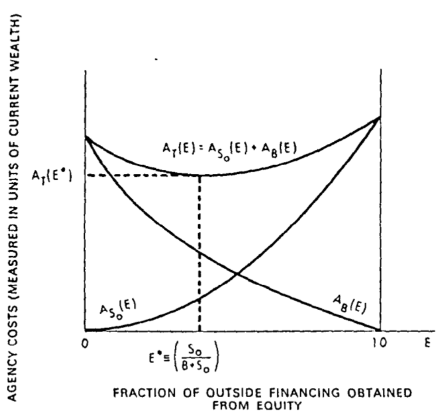

Fig. 5. Total agency costs, $A_T(E)$, as a function of the ratio of outside equity, to total outside financing, $E \equiv S_o/(B+S_o)$, for a given firm size V^* and given total amounts of outside financing $(B+S_o)$. $A_{S_o}(E) \equiv$ agency costs associated with outside equity, $A_B(E) \equiv$ agency costs associated with debt, B. $A_T(E^*)$ = minimum total agency costs at optimal fraction of outside financing E^*.

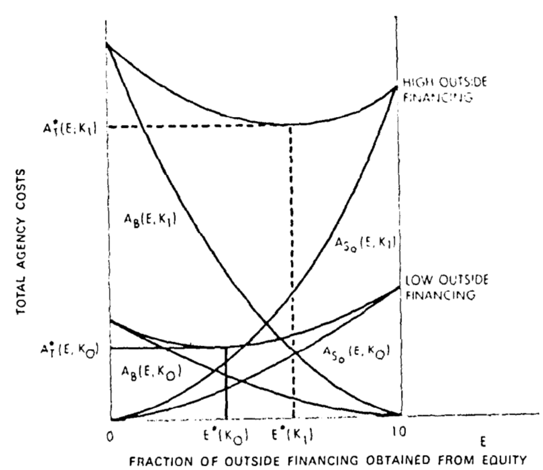

Fig. 6. Agency cost functions and optimal outside equity as a fraction of total outside financing, $E^*(K)$, for two different levels of outside financing, K, for a given size firm, V^*: $K_1 > K_o$.

5.4 Figure 7 + Figure 8: Optimal outside financing and diversification

Read:

- Figure 7 plots minimized total agency costs as the fraction of the firm financed by outside claims rises.

- The dotted curve shows that larger firms may have higher agency costs because monitoring and control become more difficult.
- Figure 8 adds the manager's demand for outside financing, driven mainly by diversification and liquidity benefits.
- The optimal outside-financing share K^* occurs where marginal agency cost equals the marginal value of outside financing.
- This explains why even a wealthy owner-manager may sell outside claims rather than hold the whole firm.

Economic message. Ownership dispersion is not only about raising funds for projects. It can also be about allowing a risk-averse owner-manager to diversify, while paying the agency-cost price of doing so.

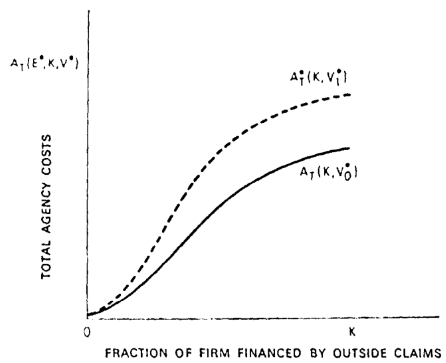

Fig. 7. Total agency costs as a function of the fraction of the firm financed by outside claims for two firm sizes, $V_1^* > V_0^*$.

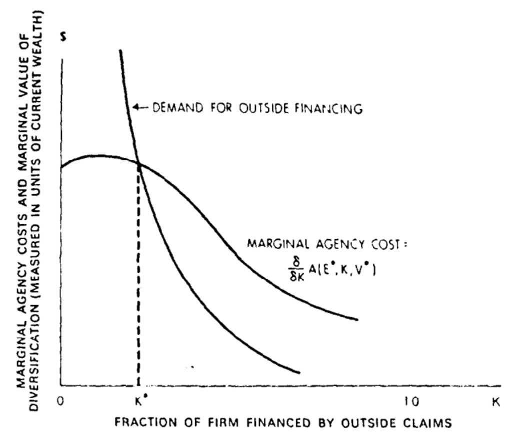

Fig. 8. Determination of the optimal amount of outside financing, K^*, for a given scale of firm

6 Short summary

- The paper develops a theory of the firm based on agency costs, property rights, and finance.
- The firm is defined as a nexus of contracts, not as a person-like maximizing entity.
- Agency costs are monitoring expenditures, bonding expenditures, and residual loss.
- Outside equity creates perquisite and effort distortions because managers bear only a fraction of the cost of their actions.
- Rational investors price these distortions, so the original owner-manager bears the cost when selling outside claims.
- Monitoring and bonding reduce agency costs but cannot eliminate them at zero cost.
- Debt creates a different agency problem: shareholders may choose riskier or otherwise inefficient policies that transfer wealth from creditors.
- Debt agency costs include investment distortions, covenants/monitoring/bonding, and bankruptcy/reorganization costs.
- The optimal mix of outside equity and debt minimizes total agency costs.
- The optimal amount of outside financing balances marginal agency cost against the owner's benefits from diversification, liquidity, and investment expansion.
- Positive agency costs do not imply the corporation is inefficient. They are the real cost of achieving delegation, specialization, risk sharing, and tradable claims.
- The paper explains why outside equity, debt, covenants, audits, limited liability, and public corporations exist despite conflicts of interest.

7 Conclusion

7.1 Core conclusion

Jensen and Meckling provide a foundational theory of corporate ownership structure. The public corporation is viable because the costs of agency relationships are anticipated, priced, and partly controlled through contracts. Managers may not maximize firm value in the literal zero-agency-cost sense, but the resulting ownership structure can still be efficient once contracting costs are recognized.

7.2 Economic intuition

Delegation creates value because it enables specialization, outside financing, risk sharing, and tradable claims. But delegation also creates conflicts because decision makers do not bear all consequences of their decisions. Corporate finance is therefore a problem of designing ownership, debt, monitoring, bonding, and control rights so that the gains from delegation exceed the agency costs.

7.3 Takeaway

The paper's lasting lesson is that capital structure is inseparable from incentives. Debt, equity, audits, covenants, and corporate governance are not ad hoc institutional details; they are contractual responses to agency costs.